



India's Pension Gap A Financial Maturity One

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INDIA'S FINANCIAL INCLUSION story is rightly celebrated as one of the country's greatest policy successes. Over the past decade, hundreds of millions of Indians have entered the formal financial system through Jan Dhan accounts, Aadhaar-enabled services, UPI payments, direct benefit transfers, and expanding access to insurance and pension products. By most conventional measures, financial inclusion has moved from aspiration to reality.

Yet an important question remains: has financial inclusion translated into preparedness?

The recently launched Financial Maturity Index (FMI), developed by the JM Financial Centre for Financial Research at IIM Udaipur in collaboration with PRICE, suggests the answer is partly affirmative. Based on a primary survey of nearly 10,000 households across Gujarat and Rajasthan, the study finds that while access to finance has expanded dramatically, long-term financial planning, retirement preparedness, and household financial resilience remain surprisingly weak.

This distinction matters because India is entering a new phase of economic development. The challenge is no longer bringing households into the system; it is ensuring they can use that system to build long-term financial secu-

rity. Nowhere is this gap more visible than in retirement planning.

NOT THINKING ABOUT OLD AGE

The FMI survey finds that only 14% of respondents think "a lot" about retirement. Particularly worrying is the limited retirement orientation among younger Indians. Among respondents aged 18–25 years, only 15.4% reported thinking seriously about retirement, rising to 30.4% among those aged 26–35 years.

This is not trivial. Retirement preparedness is fundamentally cumulative; delayed planning significantly reduces households' ability to accumulate adequate retirement savings. In a country that will age rapidly

over the coming decades, weak retirement planning among younger cohorts should concern policymakers.

The challenge becomes even clearer when pension participation is examined. Despite years of efforts to expand retirement savings through the National Pension System (NPS) and Atal Pension Yojana (APY), participation remains remarkably limited. According to the FMI survey, only 7.2% of respondents reported investing in NPS. More strikingly, nearly three-fourths had never heard of NPS, while another 18% had heard about it but had not invested. The evidence suggests that India's pension challenge extends beyond awareness and into financial behaviour itself.

One of the most important findings

The Challenge

Financial Maturity Indicator	Share of Respondents
NPS participation	7.20%
Health insurance coverage	10.70%
Life insurance coverage	29.80%
Use of formal financial advisers	~11%
Never review financial plans	60–80%
Households with adequate emergency savings	<40%
Households facing major financial shocks	>33%

SOURCE FINANCIAL MATURITY INDEX (FMI),
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